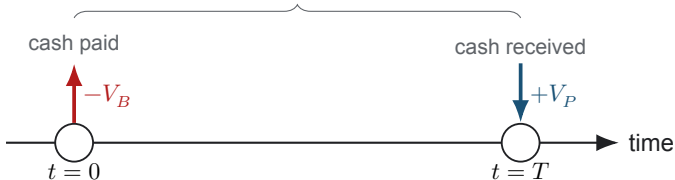


zero-coupon bill: one payment, one receipt



$$\leftarrow V_B = \mathcal{D}_{T,0}^{-1}(y; n) V_P = e^{-g_y T} V_P \longrightarrow$$

dollar gain: $V_P - V_B$; there are no coupons

$$g_B = T^{-1} \log(V_P/V_B), \quad r_B = T g_B$$